



General Assembly

February Session, 2026

Raised Bill No. 412

LCO No. 2626



Referred to Committee on TRANSPORTATION

Introduced by:
(TRA)

***AN ACT CONCERNING THE OFFERING PRICE OF A MOTOR
VEHICLE AND PROVISIONS OF THE FRANCHISE ACT GOVERNING
AGREEMENTS BETWEEN AUTOMOBILE MANUFACTURERS OR
DISTRIBUTORS AND AUTOMOBILE DEALERS.***

Be it enacted by the Senate and House of Representatives in General
Assembly convened:

1 Section 1. Section 14-62a of the 2026 supplement to the general
2 statutes is repealed and the following is substituted in lieu thereof
3 (*Effective October 1, 2026*):

4 (a) No dealer licensed under the provisions of section 14-52 shall
5 advertise the price of any motor vehicle unless the stated price in such
6 advertisement includes the federal tax, the cost of delivery, dealer
7 preparation, any fee, charge or cost imposed for any add-on consumer
8 good or consumer service, any dealer conveyance fee or processing fee
9 and any other charges of any nature and such advertisement (1) states
10 in at least eight-point bold type that any state or local tax [,] or
11 registration fees [or dealer conveyance fee or processing fee, as defined
12 in subsection (a) of section 14-62,] are excluded from such advertised
13 price, (2) separately states, in at least eight-point bold type, immediately
14 next to the phrase "Dealer Conveyance Fee", the amount of such dealer

15 conveyance fee or processing fee, and (3) separately states, in at least
16 eight-point bold type, immediately next to the phrase "Additional Fees,
17 Charges and Costs", the amount of any fee, charge or cost imposed for
18 any add-on consumer good or consumer service. For the purposes of
19 this subsection, (A) "dealer conveyance fee" and "processing fee" have
20 the same meanings as provided in subsection (a) of section 14-62, (B)
21 "consumer good" has the same meaning as provided in section 42-110r,
22 and (C) "consumer service" has the same meaning as provided in
23 subsection (a) of section 42-158ff.

24 (b) Any new or used car dealer violating the provisions of this section
25 shall be fined not more than one thousand dollars. The Commissioner
26 of Motor Vehicles may suspend or revoke, in accordance with section
27 14-64, the license of any such dealer violating the provisions of this
28 section.

29 Sec. 2. Subsection (b) of section 14-62 of the 2026 supplement to the
30 general statutes is repealed and the following is substituted in lieu
31 thereof (*Effective October 1, 2026*):

32 (b) (1) The selling price quoted by any dealer to a prospective buyer
33 shall (A) include [,] any dealer conveyance fee or processing fee, and (B)
34 separately [stated,] state the amount of [the] any such dealer conveyance
35 fee or processing fee and that such fee is negotiable. [No dealer
36 conveyance fee shall be added to the selling price at the time the order
37 is signed by the buyer.]

38 (2) The selling price quoted by any dealer to a prospective buyer shall
39 both (A) include any fee, charge or cost imposed for any optional add-
40 on consumer good or consumer service, and (B) separately state the
41 amount of each such fee, charge or cost and that such fee, charge or cost
42 is optional.

43 (3) No dealer shall include in the selling price a dealer preparation
44 charge for any item or service for which the dealer is reimbursed by the
45 manufacturer or any item or service not specifically ordered by the

46 buyer and itemized on the invoice.

47 (4) The form used by a dealer for the order and invoice shall not be
48 printed in advance of discussions with a prospective buyer to include
49 the amount of any fee, charge or cost imposed for any other optional
50 add-on consumer good or consumer service.

51 Sec. 3. Section 42-133r of the general statutes is repealed and the
52 following is substituted in lieu thereof (*Effective October 1, 2026*):

53 As used in sections 42-133r to 42-133ee, inclusive, as amended by this
54 act, and sections 5 and 7 of this act, unless the context indicates a
55 different meaning:

56 (1) "Manufacturer" means any person who manufactures or
57 assembles new motor vehicles, or imports motor vehicles for
58 distribution to dealers or through distributors, or factory branches.

59 (2) "Distributor" means any person who offers for sale, sells or
60 distributes any new motor vehicle to dealers or who maintains factory
61 representatives or who controls any person, firm, association, joint
62 venture corporation or trust, who offers for sale, sells or distributes any
63 new motor vehicle to dealers.

64 (3) "Factory branch" means a branch office maintained by a
65 manufacturer for the purpose of selling, or offering for sale, motor
66 vehicles to a distributor or dealer, or for directing or supervising factory
67 or distributor representatives.

68 (4) "Owner" means any person holding an ownership interest in a
69 business entity operating as a dealer or under a franchise as defined in
70 this section either as a corporation, partnership or sole proprietorship.
71 To the extent that the rights of any owner under sections 42-133r to 42-
72 133ee, inclusive, as amended by this act, conflict with the rights of any
73 other owner, such rights shall accrue in priority order based on the
74 percentage of ownership interest held by each owner with the owner

75 having the greatest ownership interest having first priority and
76 succeeding priority accruing to other owners in the descending order of
77 their percentage of ownership interest.

78 (5) "Dealership facilities" means real estate, buildings, fixtures and
79 improvements which are used in the course of business under a
80 franchise by a new motor vehicle dealer.

81 (6) "Dealer" means any person engaged in the business of selling,
82 offering to sell, soliciting or advertising the sale of new motor vehicles
83 and who holds a valid sales and service agreement, franchise or
84 contract, granted by a manufacturer or distributor for the retail sale of
85 the manufacturer's or distributor's new motor vehicles.

86 (7) "Motor vehicle" means a self-propelled vehicle intended primarily
87 for use and operation on the public highways, other than a farm tractor
88 or other machinery or tools used in the production, harvesting and care
89 of farm products.

90 (8) "New motor vehicle" means a motor vehicle which has been sold
91 to a new motor vehicle dealer and which has not been used for other
92 than demonstration purposes and on which the original title has not
93 been issued from the new motor vehicle dealer.

94 (9) "Established place of business" means a permanent, commercial
95 building easily accessible and open to the public at reasonable times and
96 at which the business of a new motor vehicle dealer, including the
97 display and repair of vehicles, may be lawfully carried on.

98 (10) "Franchise" means a written agreement or contract between a
99 manufacturer or distributor and a dealer which purports to fix the legal
100 rights and liabilities of the parties to such agreement or contract, and
101 pursuant to which the dealer purchases and resells the franchise
102 product or leases or rents the dealership premises.

103 (11) "Good faith" means honesty in fact and the observance of

104 reasonable commercial standards of fair dealing in the trade.

105 (12) "Designated family member" means the spouse, child,
106 grandchild, parent, brother or sister of an owner who, in the case of the
107 owner's death, is entitled to inherit the ownership interest in the dealer
108 under the terms of the owner's will, or who has been nominated in any
109 other written instrument, or who, in the case of an incapacitated owner
110 of a dealer, has been appointed by a court as the legal representative of
111 the dealer's property.

112 (13) "Person" means a natural person, partnership, corporation,
113 limited liability company, association, trust, estate or any other legal
114 entity.

115 (14) "Relevant market area" means the area within a radius of
116 fourteen miles around an existing dealer or the area of responsibility
117 defined in a franchise, whichever is greater.

118 (15) "Commissioner" means the Commissioner of Motor Vehicles.

119 (16) "Substantial alteration" means an alteration that has a major
120 impact on the architectural features, characteristics, appearance or
121 integrity of a structure or lot located on a dealership facility. "Substantial
122 alteration" does not include routine maintenance, such as painting and
123 repairs reasonably necessary to maintain a dealership facility in
124 attractive condition or any changes to items protected by federal
125 intellectual property rights.

126 (17) "Consumer data" means "nonpublic personal information" as
127 such term is defined in 15 USC 689(4), as amended from time to time,
128 that is collected by a dealer and provided by the dealer directly to a
129 manufacturer, distributor, factory branch or third party acting on behalf
130 of a manufacturer, distributor or factory branch. "Consumer data" does
131 not include the same or similar data obtained by a manufacturer from
132 any source other than the dealer or the dealer's data management
133 system.

134 (18) "Data management system" means a computer hardware or
135 software system that: (A) Is owned, leased or licensed by a dealer,
136 including, but not limited to, a system of web-based applications,
137 computer software or computer hardware; (B) is located at the
138 dealership or hosted remotely; and (C) stores and provides access to
139 consumer data collected or stored by a dealer.

140 Sec. 4. Section 42-133cc of the general statutes is amended by adding
141 subdivisions (23) and (24) as follows (*Effective October 1, 2026*):

142 (NEW) (23) (A) Require a dealer to construct, renovate or make
143 substantial alterations to the dealer's facilities unless the manufacturer
144 or distributor can demonstrate that such construction, renovation or
145 alteration requirements are reasonable and justifiable based on
146 reasonable business consideration, including current and reasonably
147 foreseeable projections of economic conditions existing in the
148 automotive industry at the time such action would be required of the
149 dealer, and agrees to make a good faith effort to make available, at the
150 dealer's option, a reasonable quantity and mix of new motor vehicles,
151 which, after a reasonable analysis of market conditions, are projected to
152 meet the sales level necessary to support the increased overhead
153 incurred by the dealer as a result of the required construction,
154 renovation or alteration, provided a dealer may be required by a
155 manufacturer or distributor to make reasonable facility improvements
156 and technological upgrades necessary to support the technology of the
157 manufacturer's or distributor's vehicles. If the dealer chooses not to
158 make such facility improvements or technological upgrades, the
159 manufacturer or distributor shall not be obligated to provide the dealer
160 with the vehicles that require the improvements or upgrades or any
161 corresponding incentives or benefits. A manufacturer or distributor
162 may not require a dealer to construct, renovate or make substantial
163 alterations to the dealer's facility if the dealer has completed a
164 construction, renovation or substantial alteration to the same
165 component of the facility that was required and approved by the
166 manufacturer or distributor within the previous ten years. If a dealer has

167 completed facility construction, renovation or substantial alteration
168 under an incentive program, the manufacturer or distributor may not
169 deny a dealer payment or benefits according to the terms of that
170 program in place when the dealer began to perform under the program.
171 If the incentive program under which the dealer completed a facility
172 construction, renovation or substantial alteration on or after October 1,
173 2026, does not contain a specific time period during which the
174 manufacturer or distributor shall provide payments or benefits to a
175 dealer, the manufacturer or distributor may not deny the dealer
176 payment or benefits under the terms of that incentive program, as it
177 existed when the dealer began to perform under the program for the
178 balance of ten years after the manufacturer or distributor made the
179 program available to the dealer, regardless of whether the
180 manufacturer's or distributor's facility program has been changed or
181 cancelled. Nothing in this subdivision shall be construed to require a
182 manufacturer or distributor to provide payment or benefits if changes
183 have been made to the facility since the manufacturer's or distributor's
184 approval that would render the facility not in compliance with the
185 manufacturer's or distributor's standards or plans, regardless of
186 whether the manufacturer's or distributor's image program has
187 changed. Facility changes that are necessitated due to damage sustained
188 from a natural disaster or as a result of necessary safety upgrades shall
189 not be considered a change to the facility that renders the facility not in
190 compliance with the manufacturer's or distributor's standards or plans,
191 provided such facility changes substantially restore the facilities to the
192 previous or current compliant state. Eligibility for facility-related
193 incentives under this subdivision shall not apply to: (i) Lump sum
194 payments for the cost of the facility upgrade; (ii) payments on a per
195 vehicle basis; and (iii) any facility-related incentive program in effect
196 with one or more dealers in the state on October 1, 2026.

197 (B) Nothing in this subdivision shall be construed to allow a dealer
198 to: (i) Impair or eliminate a manufacturer's or distributor's intellectual
199 property or trademark rights or impair other intellectual property

200 interests owned or controlled by the manufacturer or distributor,
201 including the design and use of signs; or (ii) refuse to change the design
202 or branding of any signage or other branded items required by a
203 manufacturer or distributor at any time, provided the manufacturer or
204 distributor requires such changes of all of its franchised dealers
205 nationally;

206 (NEW) (24) Require a dealer who is constructing, renovating or
207 substantially altering its dealership facility to purchase goods, building
208 materials or services for the dealership facility, including, but not
209 limited to, office furniture, design features, flooring and wall coverings,
210 from a vendor chosen by the manufacturer or distributor if goods,
211 building materials or services of a substantially similar appearance,
212 function, design and quality are available from other sources and the
213 dealer has received the manufacturer's or distributor's approval,
214 provided such approval shall not be unreasonably withheld or delayed.
215 In the event that a manufacturer or distributor does not approve the
216 dealer's use of substantially similar goods, building materials or
217 services, the manufacturer or distributor shall provide the dealer, in
218 writing at the time of disapproval, a detailed list of reasons why the
219 proposed substantially similar items are not acceptable. Nothing in this
220 subdivision shall be construed to allow a dealer to impair or eliminate a
221 manufacturer's or distributor's intellectual property or trademark rights
222 and brand image standards, or impair other intellectual property
223 interests owned or controlled by the manufacturer or distributor,
224 including the design and use of signs.

225 Sec. 5. (NEW) (*Effective October 1, 2026*) (a) As used in this subsection,
226 (1) "stop-sale order" means a notification issued by a manufacturer to its
227 dealers stating that a used vehicle in inventory shall not be sold or leased
228 because of a federal safety recall for a defect or noncompliance or
229 because of a federal emissions recall, (2) "do-not-drive order" means a
230 notification issued by a manufacturer to its dealers or to the registered
231 owner of a used vehicle, or by the National Highway Traffic Safety
232 Administration to the registered owner of a used vehicle, stating that

233 the vehicle is subject to a federal safety recall for a defect or
234 noncompliance and including an unconditional instruction to the
235 recipient of the notification to not drive the vehicle until the remedy for
236 the recall is complete, and (3) "value of the used motor vehicle" means
237 the average trade-in value of the year, make and model of the used
238 motor vehicle determined using nationally recognized industry data or
239 pricing guides that reflect current national and regional used motor
240 vehicle market conditions.

241 (b) If a manufacturer issues a recall and either a stop-sale order or a
242 do-not-drive order on a used vehicle and the parts or a remedy are not
243 available to perform a recall service or repair on the used vehicle not
244 later than thirty days after issuing the recall, a new vehicle dealer that is
245 franchised to sell and service new vehicles of the manufacturer is
246 entitled to compensation from the manufacturer and may file a claim
247 with the manufacturer for each used vehicle subject to the recall which
248 the dealer (1) has in its used vehicle inventory on the date on which the
249 stop-sale order or do-not-drive order is issued, or (2) takes into its used
250 car inventory as a consumer trade-in related to the sale of a new vehicle
251 after the date on which the stop-sale order or do-not-drive order is
252 issued or as a return of a leased motor vehicle.

253 (c) Any such claim for compensation shall be in a form as prescribed
254 by the manufacturer. The manufacturer may prescribe the manner in
255 which a dealer shall demonstrate eligibility for such compensation,
256 including, but not limited to, the documentation required to show the
257 inventory status of a used vehicle, provided such demonstration of
258 eligibility or documentation is not unduly burdensome.

259 (d) Except as provided in subsections (e) and (f) of this section,
260 compensation for a used motor vehicle pursuant to this section shall be
261 calculated at a rate of not less than one per cent of the value of the used
262 motor vehicle per month, beginning thirty days after the date on which
263 the stop-sale order or do-not-drive order is issued to the dealer and
264 continuing until the earlier of the date: (1) The parts or a remedy for the

265 recall service or repair are made available to the dealer; or (2) the dealer
266 sells, trades or otherwise disposes of the used vehicle.

267 (e) Compensation due to a new vehicle dealer is limited to the amount
268 equal to the value of the used motor vehicle for which the compensation
269 is paid.

270 (f) A manufacturer may, in lieu of compensating a new vehicle dealer
271 pursuant to the provisions of subsection (d) of this section: (1)
272 Compensate the dealer pursuant to a national recall compensation
273 program, if the amount of compensation owed to the dealer under the
274 program is not less than the amount of compensation owed to the dealer
275 pursuant to the provisions of subsection (d) of this section; or (2) enter
276 into an agreement with the dealer for an alternative form or amount of
277 compensation.

278 (g) A manufacturer may not take any action to offset or reduce the
279 amount of compensation owed to a new vehicle dealer pursuant to this
280 section, including, without limitation, through a charge-back program,
281 any reduction in an amount owed to the new vehicle dealer under an
282 incentive program or the removal of the new vehicle dealer from an
283 incentive program, if such action is taken, in whole or in part, because
284 the new vehicle dealer filed a claim for compensation pursuant to this
285 section. The provisions of this subsection do not apply to any action
286 taken by a manufacturer that is applied uniformly to all new vehicle
287 dealers of the same line and make of vehicles in this state.

288 (h) Except as provided in subsection (f) of this section, any
289 compensation provided to a new vehicle dealer pursuant to this section
290 is exclusive and may not be combined with any other state or federal
291 recall compensation remedy.

292 (i) A violation of any provision of this section shall be deemed an
293 unfair or deceptive trade practice under subsection (a) of section 42-110b
294 of the general statutes.

295 Sec. 6. Subsection (j) of section 42-133s of the general statutes is
296 repealed and the following is substituted in lieu thereof (*Effective October*
297 *1, 2026*):

298 (j) All claims by dealers under this section for such labor and parts,
299 [and] all claims for compensation relative to any sales incentive,
300 marketing and advertising programs and all claims for compensation
301 pursuant to the provisions of section 5 of this act shall be paid not later
302 than thirty days after approval by the manufacturer or distributor,
303 provided manufacturers or distributors retain the right to audit such
304 claims and to charge-back the dealer for false or unsubstantiated claims
305 for a period of one year following payment. A manufacturer or
306 distributor shall not deny a claim submitted under this subsection or
307 charge-back such a claim or payment following a timely audit based
308 solely on the dealer's failure to comply with a claim processing
309 procedure, a clerical error or other administrative technicality, provided
310 such failure does not call into question the legitimacy of the claim. The
311 manufacturer or distributor shall allow the dealer to resubmit such
312 claim according to reasonable manufacturer or distributor guidelines
313 not later than thirty days after the initial claim denial or charge-back. If
314 there is evidence of fraud, the provisions of this subsection shall not
315 limit the right of a manufacturer or distributor to audit a dealer for
316 longer periods of time and charge-back the dealer for any fraudulent
317 claim. Dealers shall be required to maintain defective parts for a period
318 of not longer than ninety days following submission of claims. All such
319 claims shall be either approved or disapproved not later than thirty days
320 after their receipt on forms, and in the manner specified by, the
321 manufacturer or distributor. Any claim not disapproved in writing or
322 by means of electronic transmission not later than thirty days after
323 receipt shall be deemed approved and payment shall be made within
324 thirty days.

325 Sec. 7. (NEW) (*Effective October 1, 2026*) (a) With respect to consumer
326 data, a manufacturer, distributor or a third party acting on behalf of a
327 manufacturer or distributor:

328 (1) Shall comply with, and shall not cause a dealer to violate, any
329 applicable restrictions on reuse or disclosure of the consumer data
330 established by federal or state law;

331 (2) Shall, upon the request of the dealer, provide a written statement
332 to the dealer describing the established procedures adopted by such
333 manufacturer, distributor or third party acting on behalf of the
334 manufacturer or distributor that meet or exceed any federal or state
335 requirements to safeguard the consumer data, including, but not limited
336 to, the requirements in the Gramm-Leach-Bliley Act, 15 USC 6801 et
337 seq., as amended from time to time;

338 (3) Shall, upon the written request of the dealer, provide a written list
339 of the consumer data obtained from the dealer and all persons to whom
340 any consumer data has been provided by the manufacturer, distributor
341 or a third party acting on behalf of the manufacturer or distributor
342 during the preceding six months. The dealer may make such a request
343 not more than once every six months. The list shall indicate the specific
344 fields of consumer data that were provided to each person, except such
345 list shall not be required to include: (A) A person to whom consumer
346 data was provided, or the specific consumer data provided to such
347 person, if the person was, at the time such consumer data was provided,
348 a service provider, subcontractor or consultant acting in the course of
349 performance of services on behalf of or for the benefit of the
350 manufacturer, distributor, third party or dealer, provided the
351 manufacturer, distributor, third party or dealer has entered into an
352 agreement with such person requiring that such person comply with the
353 safeguard requirements of applicable state and federal law, including,
354 but not limited to, the requirements in the Gramm-Leach-Bliley Act, 15
355 USC 6801 et seq., as amended from time to time; and (B) a person to
356 whom consumer data was provided, or the specific consumer data
357 provided to such person, if the dealer has previously consented in
358 writing to such person receiving such consumer data and the dealer has
359 not withdrawn such consent in writing;

360 (4) May not require that a dealer grant the manufacturer, distributor
361 or third party acting on behalf of the manufacturer or distributor direct
362 or indirect access to such dealer's data management system to obtain
363 consumer data. A manufacturer, distributor or a third party acting on
364 behalf of the manufacturer or distributor shall permit a dealer to furnish
365 consumer data in a widely accepted file format, such as comma
366 delimited, and through a third-party vendor selected by the dealer. A
367 manufacturer, distributor or a third party acting on behalf of the
368 manufacturer or distributor may access or obtain consumer data
369 directly from a dealer's data management system with the express
370 consent of the dealer. The consent shall be in the form of a written
371 document that (A) is separate from the franchise agreement, (B) is
372 executed by the dealer, and (C) may be withdrawn by the dealer upon
373 thirty days' written notice to the manufacturer or distributor. For
374 incentive programs beginning on or after October 1, 2026, such consent
375 shall not be required as a condition to a motor vehicle dealer's
376 participation in an incentive program unless such consent is necessary
377 to obtain consumer data to implement the program; and

378 (5) Shall indemnify the dealer for any third-party claims asserted
379 against or damages incurred by the dealer to the extent caused by access
380 to, use of or disclosure of consumer data in violation of the provisions
381 of this section by the manufacturer, distributor or a third party to whom
382 the manufacturer or distributor has provided consumer data.

383 (b) Nothing in this section shall be construed to limit the ability of the
384 manufacturer or distributor to require that the dealer provide, or use in
385 accordance with the law, such customer information related solely to
386 such manufacturer's or distributor's own vehicle makes to the extent
387 necessary to do any of the following:

388 (1) Satisfy any safety or recall notice obligations or other legal notice
389 obligations on the part of the manufacturer;

390 (2) Complete the sale and delivery of a new motor vehicle to a

391 customer;

392 (3) Validate and pay customer or dealer incentives;

393 (4) Submit to the manufacturer or distributor claims for any services
394 supplied by the dealer for any claim for warranty parts or repairs;

395 (5) Market analysis;

396 (6) Evaluate sales and service customer satisfaction with the dealer,
397 including surveys; or

398 (7) Reasonable marketing purposes that benefit the dealer.

399 (c) In any cause of action against a manufacturer or distributor for a
400 violation of the provisions of this section, the party bringing the action
401 shall have the burden of proof.

This act shall take effect as follows and shall amend the following sections:		
Section 1	<i>October 1, 2026</i>	14-62a
Sec. 2	<i>October 1, 2026</i>	14-62(b)
Sec. 3	<i>October 1, 2026</i>	42-133r
Sec. 4	<i>October 1, 2026</i>	42-133cc(23) and (24)
Sec. 5	<i>October 1, 2026</i>	New section
Sec. 6	<i>October 1, 2026</i>	42-133s(j)
Sec. 7	<i>October 1, 2026</i>	New section

Statement of Purpose:

To (1) require a car dealer to include any dealer conveyance fee in the stated price of a motor vehicle in advertisement and in communications with a prospective buyer, and (2) make changes to the Franchise Act as it applies to car manufacturers, distributors and dealers.

[Proposed deletions are enclosed in brackets. Proposed additions are indicated by underline, except that when the entire text of a bill or resolution or a section of a bill or resolution is new, it is not underlined.]